LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Special Situation Funding in reference to Additional Specialized Funding products?

Developed by www.loanbazaaronline.com

Table of Contents

Module	Chapter Name	Page no.
Module 1	Product Overview & Core Philosophy of Special Situation Funding	3
Module 2	How Special Situation Funding Works: Mechanics & Deal Archetypes	5
Module 3	Regulatory, Statutory, Tax & Foreign Exchange (FEMA) Framework in India	7
Module 4	Common Eligibility Criteria & Institutional Underwriting Parameters	9
Module 5	Security Architecture, Collateral Controls & Documentation Suite	11
Module 6	Indicative Tenure, Pricing Structure & All-In Yield Economics	13
Module 7	Suitable Industries, Corporate Profiles & Strategic Use Cases	14
Module 8	Key Advantages and Limitations Matrix	15
Module 9	Comprehensive Real-World Case Study (INR 350 Crore Special Situation Funding)	16
Module 10	Legal Enforcement, Default Protocols & IBC 2016 Integration	18
Module 11	Rookie Mastery Examination (15 High-Yield Test Q&As)	19

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 1: Product Overview & Core Philosophy of Special Situation Funding

Special Situation Funding is an advanced financial engineering product designed to provide high-conviction, flexible, and customized liquidity to corporate enterprises experiencing unique, complex, or time-sensitive operational, structural, or capital market events. Unlike standard corporate term loans that rely primarily on historical financial performance and traditional real estate collateral, special situation credit is event-driven and forward-looking. Lenders in this space—predominantly SEBI-registered Category II Private Credit Alternative Investment Funds (AIFs), specialized NBFCs, and global private debt funds—underwrite the certainty and enterprise value creation of a specific corporate event rather than static balance sheet metrics.

1.1 The Spectrum of Special Situations in Indian Corporate Finance

In the Indian wholesale banking and private credit landscape, 'special situations' encompass a broad range of non-standard corporate events where conventional capital is unavailable or structurally inadequate. These scenarios typically include:

- • Complex Corporate Acquisitions & M&A Execution: Time-sensitive acquisition opportunities where acquirers must deploy cash within 15–30 days, or where commercial banks are prohibited by Reserve Bank of India (RBI) regulations from funding share equity purchases.
- • Promoter Equity Buyouts & Cap Table Harmonization: Providing HoldCo debt to founders to buy out early-stage private equity or venture capital investors seeking scheduled fund exits without diluting promoter operational control.
- • One-Time Settlements (OTS) & Bank Debt Refinancing: Financing discounted lump-sum debt settlements with commercial bank consortiums to release existing mortgage charges and restore company solvency.
- • Pre-IPO & Pre-M&A Liquidity Bridges: Extending bridge loans to mature unlisted companies 6 to 18 months prior to filing a Draft Red Herring Prospectus (DRHP) to fund store rollouts, retire high-cost debt, or clean up balance sheets.
- • Regulatory or Industry Dislocation Funding: Supporting operationally sound enterprises facing transient liquidity shocks caused by regulatory policy shifts, supply chain disruptions, or temporary industry cyclicality.
- • Last-Mile Project Completion: Funding final-stage capital expenditure or real estate development completion where primary lenders have exhausted exposure limits.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

1.2 How Special Situation Credit Differs from Traditional Financial Products

Traditional commercial bank financing in India is heavily constrained by rigid regulatory frameworks, strict Capital Market Exposure (CME) limits, formulaic Loan-to-Value (LTV) ratios on physical land mortgages, and slow 60-to-90 day approval hierarchies. Conversely, pure private equity equity capital provides non-recourse funding but causes severe equity dilution (often 20% to 40%+) and demands permanent board seats and drag-along rights.

Special Situation Funding bridges this critical institutional gap. It offers 100% non-dilutive or minimally dilutive capital with execution timelines compressed to 15–30 days. Lenders structure customized debt instruments—such as Senior Secured Non-Convertible Debentures (NCDs), Subordinated Mezzanine Notes, and Optionally Convertible Debentures (OCDs)—incorporating split coupons, Payment-In-Kind (PIK) interest accruals, and principal moratoriums that match the cash flow generation profile of the underlying corporate event.

1.3 Comparative Taxonomy Matrix: Special Situation Funding vs. Alternative Products

The following comparative matrix illustrates the structural differences between Special Situation Funding and other primary corporate credit and equity instruments in India:

Feature / Dimension	Special Situation Funding	Traditional Bank Debt	Private Equity (PE)	Venture Debt
Primary Underwriting Basis	Event certainty, cash flow restoration & asset cover	Historical 3-year P&L & physical land collateral	Long-term equity valuation & growth TAM	Institutional VC backing & ARR growth scale
Equity Dilution	0% (Zero) or minimal via equity warrants (1%-3%)	0% (Zero)	High (20% - 40%+ equity stake giveaway)	Minimal (1% - 2% warrant coverage)
Execution Speed	Rapid (15 - 30 calendar days)	Slow (60 - 120 calendar days)	Prolonged (90 - 180 calendar days)	Moderate (30 - 45 calendar days)
All-In Cost of Capital	15.0% - 22.0% All-In YTM (Cash + PIK + Exit Fee)	8.5% - 11.5% p.a. Cash Interest	20.0% - 25.0%+ Target Equity IRR	14.0% - 18.0% All-In Yield

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 2: How Special Situation Funding Works: Mechanics & Deal Archetypes

The execution of a Special Situation Funding facility involves sophisticated financial engineering designed to ring-fence cash flows, protect downside risk, and provide flexible repayment terms tailored to the borrower's transaction lifecycle.

2.1 Structural Mechanics & Debt Instruments

Special situation credit is typically delivered through unlisted, rated or unrated, secured Non-Convertible Debentures (NCDs) or Optionally Convertible Debentures (OCDs) issued under Section 71 and Section 42 of the Companies Act, 2013. The structural architecture relies on three core financial engineering mechanics:

2.1.1 Split Coupon & Yield Engineering (Cash + PIK)

To prevent cash flow strangulation during the initial post-event turnaround or acquisition integration period, special situation lenders utilize a split-coupon structure. Instead of requiring a full 16%–18% current cash interest payout, the facility splits the yield into:

- **1.** Current Cash Coupon: A manageable 9.0% to 12.0% p.a. paid monthly or quarterly out of operational cash flows.
- **2.** Payment-In-Kind (PIK) Accrual: A 3.0% to 5.0% p.a. interest component that compounds quarterly and accumulates into the principal balance, payable upon maturity or redemption.
- **3.** Upfront Fee & Exit Redemption Premium: A 1.5% to 3.0% upfront processing fee and an exit fee (or equity warrant upside) payable upon final facility redemption, pushing total All-In Yield to 16.0%–22.0% YTM.

2.1.2 HoldCo vs. OpCo Structural Debt Routing

Where operating company (OpCo) existing bank covenants restrict fresh debt issuance or asset encumbrance, special situation lenders route credit through a parent Holding Company (HoldCo). HoldCo debt is secured by a 2.0x–2.5x demat share pledge over the promoter's voting equity in OpCo. Debt service is met via lawful dividend upstreaming (Section 123 Companies Act 2013), brand royalties, or structured share buybacks (Section 68).

2.2 Five Archetypal Special Situation Deal Frameworks

Special Situation Funding transactions in India generally fall into five distinct operational deal frameworks:

- • Archetype A - M&A & Equity Buyout Bridge: Funding 100% of the cash consideration for acquiring a target company or buying out a PE investor within tight 30-day closing windows.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- • Archetype B - Bank Debt Refinancing & OTS Settlement: Providing cash capital to execute a One-Time Settlement (OTS) with existing bank consortiums at a 30%–50% discount to total claim value.
- • Archetype C - Pre-IPO Balance Sheet Optimization: Replacing high-cost short-term debt and funding final expansion stores 12 months prior to IPO listing to achieve <1.0x Debt/EBITDA leverage.
- • Archetype D - Regulatory & Event Dislocation Bridge: Supplying 18-to-36 month liquidity to absorb temporary shocks caused by tariff changes, import restrictions, or legal disputes.
- • Archetype E - Promoter Share Consolidation: Enabling founders to re-acquire pledged equity or increase voting shareholding prior to major strategic growth rounds.

2.3 Trust & Retention Account (TRA) Escrow Cash Waterfall Architecture

To ensure absolute debt service priority, 100% of corporate receiving accounts are routed through a tri-partite Trust & Retention Account (TRA) Escrow arrangement with a SEBI-registered Trustee. The cash waterfall governs all incoming revenue deposits as follows:

> **ESCROW TRA CASH WATERFALL PRIORITY:** 1. Statutory Taxes & Government Dues (GST, TDS, Provident Fund)
> 2. Essential Operating & Maintenance Expenses (Approved Monthly Budget Cap)
> 3. Senior Bank Debt Servicing (Pari-Passu Working Capital Interest)
> 4. Special Situation Debt Service Account (Current Cash Coupon Payout)
> 5. Debt Service Reserve Account (DSRA) Replenishment (1-2 Quarters Interest Buffer)
> 6. Cash Sweep & Debt Acceleration Pool (50%-70% of Residual Cash Flow applied to Principal Amortization)
> 7. Surplus Margin Release to Promoter / Corporate Operating Account

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 3: Regulatory, Statutory, Tax & Foreign Exchange (FEMA) Framework in India

Special Situation Funding operates within a strict legal and statutory landscape governed by the Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), Ministry of Corporate Affairs (MCA), and Income Tax Department.

3.1 Reserve Bank of India (RBI) Directions

- • RBI Scale-Based Regulations (SBR) & CME Directions: Restricts commercial bank direct exposure to capital markets (CME capped at 40% of net worth) and prohibits banks from funding share purchases or buybacks. This regulatory restriction directly establishes Category II Private Credit AIFs as the primary underwriting vehicle for special situations.
- • RBI Commercial Banks Credit Facilities Directions 2025: Standardizes large exposure frameworks (LEF) and restricts bank lending against illiquid securities, driving corporate borrowers toward specialized private debt.

3.2 SEBI Alternative Investment Funds (AIF) Regulations, 2012

Special Situation Funding in India is overwhelmingly deployed through Category II Private Credit AIFs. Key SEBI mandates include:

- • Minimum LP Commitment: Minimum investment ticket of INR 1.00 Crore per investor (INR 25 Lakhs for employees/directors).
- • Concentration Limits: Maximum 20% of total fund investable capital can be allocated to a single corporate borrower entity or group.
- • Unlisted Debt Securities: Permitted to invest in unlisted, secured NCDs, OCDs, and structured debt notes.

3.3 Companies Act, 2013 Statutory Compliance

- • Section 71 & Debenture Trust Deed (DTD): Mandates the execution of a formal DTD within 60 days of debenture allotment and the appointment of an independent SEBI-registered Debenture Trustee.
- • Section 42 & Section 62(1)(c): Governs private placement procedures (Form PAS-4 Offer Letters, Form PAS-3 Return of Allotment within 15 days) and mandates a 75% shareholder Special Resolution for preferential share/warrant issuances.
- • Section 180(1)(c): Requires shareholder Special Resolution if total corporate borrowings exceed the aggregate of paid-up share capital, free reserves, and securities premium.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- • Section 77 Charge Registration: Mandatory filing of ROC Form CHG-1 with the Registrar of Companies within 30 days of charge creation to perfect security.

3.4 Income Tax Act, 1961 & Post-Budget Statutory Framework

- • Section 36(1)(iii) Interest Deductibility: Interest paid on debentures (including cash coupons and PIK accruals) is 100% tax-deductible as a business finance expense, providing a ~25.17% corporate tax shield.
- • Section 115UB Category II AIF Tax Pass-Through: Income received by a Category II AIF is exempt from fund-level tax and passed through directly to investors, who are taxed based on their individual tax status.
- • Section 94B Thin Capitalization Rules: Interest paid to non-resident associated entities is capped at 30% of operating EBITDA for tax deductibility, with an 8-year carry-forward provision for excess interest.
- • Abolition of Section 56(2)(viib) 'Angel Tax': Budget 2024/2025 eliminated Angel Tax on share premium, allowing frictionless equity warrant conversion and hybrid note restructuring.

3.5 Insolvency and Bankruptcy Code (IBC), 2016 Integration

Special situation debenture holders qualify as Financial Creditors under Section 5(8) of the IBC. In the event of default, lenders hold statutory rights to initiate Corporate Insolvency Resolution Process (CIRP) under Section 7. In liquidation, secured special situation debt holds Priority 2 ranking under Section 53(1)(b) alongside 24-month workmen's dues, ranking ahead of statutory government taxes.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 4: Common Eligibility Criteria & Institutional Underwriting Parameters

Institutional lenders evaluate Special Situation Funding applications using rigorous quantitative financial metrics and qualitative event certainty filters. The table below outlines the core underwriting benchmarks required for facility sanction:

Underwriting Parameter	Institutional Target / Benchmark	Underwriting Rationale
Annual Corporate Revenue	Minimum INR 100.00 Crores (Target: INR 250 Cr - INR 2,000 Cr+)	Ensures commercial scale, market standing, and operational absorption capacity.
Normalized EBITDA Margin	Minimum 12.00% sustainable EBITDA (Target: 18.0% - 28.0%+)	Verifies core operational cash generation to service cash interest coupons.
Asset Security Cover Ratio (ACR)	Minimum 2.00x to 3.00x Tangible Asset Cover	Provides robust principal protection via 1st/2nd mortgages on land, plant, and real estate.
Share Pledge Cover Ratio	Minimum 2.00x to 2.50x Demat Equity Cover	Ensures promoter alignment and voting control backing for HoldCo debt facilities.
Projected Debt Service Coverage (DSCR)	Projected DSCR >= 1.35x to 1.75x across facility tenure	Ensures comfortable cash buffers above mandatory debt service requirements.
Consolidated Group Leverage	Capped at maximum 3.50x to 4.50x Net Debt / EBITDA	Prevents over-leveraging and maintains long-term refinancing viability.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

4.2 Qualitative Due Diligence & Event Certainty Filters

- • Event Certainty & Execution Horizon: The underlying special situation event (M&A closing, OTS approval, pre-IPO filing) must have clear binding documentation and closing timelines within 30 to 90 days.
- • Quality of Earnings (QoE) & Forensic Audit: Independent Big-4 or top-tier accounting firm audit validating normalized EBITDA and confirming absence of siphoning, fraud, or Section 66 IBC transactions.
- • Techno-Economic Viability (TEV) Study: Independent engineering report confirming asset replacement cost, plant operational efficiency, and remaining economic useful life.
- • Clean CIBIL Commercial & CRILC Standing: Company and promoters must have clean bureau records free of Wilful Defaulter or Fraudulent Borrower designations.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 5: Security Architecture, Collateral Controls & Documentation Suite

Special Situation Funding relies on a comprehensive, multi-layered security package designed to provide absolute legal enforcement priority and cash flow control.

5.1 Five-Pillar Security Architecture

- **1.** 1st / 2nd Registered Legal Mortgage: Exclusive or pari-passu legal mortgage over industrial land, factory buildings, corporate headquarters, and plant & machinery.
- **2.** Hypothecation of Current Assets & Receivables: First charge on inventory, trade book debts, and operating receiving accounts registered on ROC Form CHG-1.
- **3.** Demat Share Pledge with Dynamic Margin Calls: 2.0x–2.5x pledge over promoter voting equity held in NSDL/CDSL depositories. A drop in cover below 1.75x triggers a T+2 Margin Call Notice requiring cash or share top-up.
- **4.** Escrow TRA Receiving Lockbox Account: 100% of customer collections routed through a trustee-monitored escrow TRA account governed by a strict cash waterfall.
- **5.** Debt Service Reserve Account (DSRA) & Guarantees: Pledged Fixed Deposit covering 1 to 2 quarters of cash coupon payments, backed by irrevocable personal guarantees from principal promoters.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

5.2 Master Legal Documentation Suite

The transaction is legally executed through the following master legal documentation suite:

Document Title	Primary Legal Parties	Core Purpose & Legal Function
Debenture Trust Deed (DTD) / MFA	Issuer, Debenture Trustee & Lenders	Governs debenture issuance terms, coupon schedules, redemption covenants, and event of default triggers under Section 71.
Trust & Retention Account (TRA) Agreement	Borrower, Lenders, Escrow Bank & Trustee	Establishes receiving account lockbox and enforces the priority cash waterfall distribution rules.
Deed of Mortgage & Hypothecation	Borrower, Security Trustee & Lenders	Creates first registered legal charge over fixed assets, land, plant, machinery, and current trade receivables.
Share Pledge Agreement & NDU	Promoters, Security Trustee & Lenders	Pledges 2.0x-2.5x demat shares in NSDL/CDSL and enforces Non-Disposal Undertakings (NDUs) over remaining equity.
Intercreditor Agreement (ICA)	Senior Banks, Private Credit Lenders & Trustee	Establishes inter-creditor subordination, standstill periods (90-180 days), and enforcement priority rules.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 6: Indicative Tenure, Pricing Structure & All-In Yield Economics

Special Situation Funding is structured as medium-term flexible capital matching the gestation period of the underlying corporate event.

6.1 Facility Tenure & Principal Moratoriums

- • Indicative Facility Tenure: Ranges from 12 to 24 months for short-term event bridges (M&A closing, OTS refinancing) up to 24 to 60 months (2 to 5 years) for comprehensive corporate growth recapitalizations.
- • Principal Repayment Moratoriums: Feature 12 to 24-month principal moratoriums during which the borrower pays only the current cash interest coupon, allowing full operational cash flow reinvestment into business turnaround.
- • Call Protection & Lock-In: Facilities incorporate Hard Lock-In periods (12 to 24 months) and Make-Whole / Yield Maintenance clauses protecting lender returns against early prepayment.

6.2 Pricing Equations & All-In Yield Components

The All-In Yield for Special Situation Funding ranges from 15.0% to 22.0% YTM, constructed through four complementary yield components:

> **SPECIAL SITUATION ALL-IN YIELD EQUATION:** All-In Yield (15.0% - 22.0% YTM) = Cash Coupon (9.0% - 12.0%) + PIK Accrual (3.0% - 5.0%) + Upfront Processing Fee (1.5% - 3.0%) + Exit Redemption Premium / Equity Warrants

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 7: Suitable Industries, Corporate Profiles & Strategic Use Cases

Special Situation Funding is highly versatile and applicable across diverse asset-heavy and high-margin growth sectors in India:

- • High-Growth Consumer & Omnichannel Retail: Funding rapid retail store network expansion, inventory build-up, and acquisition of regional competitor brands prior to IPO listing.
- • Specialty Pharmaceuticals & Healthcare: Financing US-FDA plant acquisitions, API capacity expansions, and buying out early PE investors in mid-market pharma companies.
- • Advanced Manufacturing & Specialty Chemicals: Capitalizing high-margin specialty chemical plant rollouts and funding technology transfer acquisitions.
- • Real Estate & Urban Redevelopment SPVs: Providing last-mile construction completion capital and refinancing existing lender debt in high-end residential and commercial projects.
- • Infrastructure Concessions & Renewable Energy SPVs: Funding equity commitments and refinancing operational solar, wind, or highway asset portfolios.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 8: Key Advantages and Limitations Matrix

A balanced evaluation of Special Situation Funding reveals significant strategic benefits alongside specific structural trade-offs:

Key Strategic Advantages	Key Limitations & Structural Risks
100% Non-Dilutive Capital: Preserves complete voting control and equity upside for promoters without giving up board seats or equity stakes.	Higher Yield Cost: All-In YTM (15.0% - 22.0%) is higher than standard bank debt (8.5% - 11.5%), reflecting complex event risk underwriting.
Rapid Execution Speed: Sanctioned and disbursed within 15 - 30 days, enabling borrowers to capture time-sensitive M&A and OTS opportunities.	Strict TRA Escrow Trapping: 100% of cash flows are ring-fenced in escrow, limiting unapproved operational cash leakage.
Tailored Repayment Flexibility: Incorporates split coupons (Cash + PIK) and 12-24 month principal moratoriums matching cash flow build-up.	Demat Share Pledge Volatility: HoldCo share pledges require dynamic T+2 cash/share top-ups if stock prices decline below 1.75x cover.
Tax-Efficient Interest Deductibility: Cash and PIK interest are 100% tax-deductible u/s 36(1)(iii), providing a ~25.17% corporate tax shield.	Prepayment Call Protection: Hard Lock-Ins (12-24 months) and Make-Whole penalties restrict low-cost early refinancing.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 9: Comprehensive Real-World Case Study (INR 350 Crore Special Situation Funding)

The following detailed case study illustrates the end-to-end execution, structural financial engineering, and value creation of a Special Situation Funding transaction in India.

9.1 Corporate Background & Strategic Dilemma

Vanguard Advanced Materials & Consumer Technologies Private Limited ('Vanguard') is a leading Gujarat-based manufacturer of specialized polymer components used in electric vehicles and consumer durables. In FY2025, Vanguard reported an annual turnover of INR 500.00 Crores and an operating EBITDA of INR 75.00 Crores (15.0% margin). Vanguard was owned 70% by its founding promoters and 30% by an early-stage private equity investor, 'Aura Capital'.

Vanguard faced a dual strategic time-sensitive bottleneck in late 2025:

- **1.** Strategic M&A Opportunity: A US-multinational polymer plant in Vadodara became available for acquisition at a distressed price of INR 200.00 Crores. The acquisition needed to close within 30 days.
- **2.** PE Investor Exit Mandate: Aura Capital's 7-year fund life was expiring, requiring an immediate INR 150.00 Crore cash buyout for their 30% equity stake.

Commercial banks refused to fund the transaction: Indian banking rules prohibited banks from financing share purchases (PE buyout) and acquisition term debt required 90+ days of processing time.

9.2 Special Situation Capital Structure Solution

A premier SEBI-registered Category II Private Credit AIF structured an INR 350.00 Crore Senior Secured Special Situation NCD Facility with the following terms:

- • Facility Size: INR 350.00 Crores (INR 200.00 Cr allocated to Plant M&A + INR 150.00 Cr to PE Buyout).
- • Pricing Structure: 10.50% p.a. Current Cash Coupon + 4.00% p.a. PIK Accrual + 1.50% Exit Premium = 16.00% Target All-In YTM.
- • Tenure & Moratorium: 4-Year Facility Tenure (48 months) with a 12-Month Principal Moratorium.
- • Security & Collateral: First legal mortgage over the newly acquired Vadodara plant + 2.50x Demat Share Pledge over promoter OpCo shares + Escrow TRA account charge.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

9.3 Five-Year Financial Performance & Debt Service Waterfall Model

The table below details Vanguard's 5-year financial scaling, synergy realization, and debt amortization model following the special situation transaction:

Financial Metric (INR Cr)	Pre-Tx (FY25)	Year 1	Year 2	Year 3	Year 4
Gross Revenue	500.00	720.00	950.00	1,200.00	1,450.00
Operating EBITDA	75.00	115.20	156.75	204.00	246.50
EBITDA Margin %	15.0%	16.0%	16.5%	17.0%	17.0%
Special Situation Debt EMI	0.00	36.75*	76.75	106.75	126.75
Debt Service Coverage (DSCR)	N/A	3.13x	2.04x	1.91x	1.94x
Net Debt / EBITDA	0.00x	3.16x	2.10x	1.25x	0.38x

**Note: Year 1 reflects 12-month principal moratorium paying cash interest coupon only (10.50% on INR 350 Cr = INR 36.75 Cr).*

9.4 Transaction Outcomes & Value Creation

- • 100% Equity Ownership Retained: Promoters increased equity shareholding from 70% to 100% by buying out Aura Capital without issuing fresh equity.
- • Revenue & EBITDA Scale-Up: Revenue expanded 2.9x from INR 500 Cr to INR 1,450 Cr; EBITDA expanded 3.3x from INR 75 Cr to INR 246.50 Cr by Year 4.
- • Commercial Bank Takeout Refinancing: In Year 4, with Net Debt/EBITDA down to 0.38x, Vanguard secured a commercial bank takeout loan @ 9.0% p.a., fully redeeming the special situation NCDs.
- • Promoter Wealth Expansion: At an 8.0x EBITDA valuation, Vanguard's Enterprise Value expanded to INR 1,972.00 Crores, creating INR 1,972 Crores of 100% promoter equity value.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 10: Legal Enforcement, Default Protocols & IBC 2016 Integration

In the event of monetary or covenant default, special situation debenture holders possess potent statutory legal enforcement remedies under Indian law:

- **1.** Section 176 Indian Contract Act Demat Share Pledge Invocation: Debenture Trustees hold statutory powers to invoke pledged demat shares in NSDL/CDSL depositories upon giving a 3–5 day default notice, transferring voting control or executing block sales on stock exchanges without court intervention.
- **2.** IBC 2016 Section 7 Financial Creditor Action: Immediate right to initiate Corporate Insolvency Resolution Process (CIRP) before the National Company Law Tribunal (NCLT) upon a payment default exceeding INR 1.00 Crore.
- **3.** Section 25 Payment and Settlement Systems Act / Section 138 NI Act: Criminal prosecution for dishonored eNACH mandates or bounced security cheques, carrying personal criminal liability for directors.
- **4.** Order 37 Civil Procedure Code (CPC) Summary Recovery Suits: Fast-track summary civil suits for liquidated debt recovery where defendants must prove a valid defense to obtain leave to defend.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

Test your mastery of Special Situation Funding with these 15 structured practice questions and exhaustive answer explanations:

Q1: What is the core definition and primary underwriting basis of Special Situation Funding?

Answer: Special Situation Funding is an event-driven, bespoke private credit facility structured to navigate unique, time-sensitive corporate events (M&A, OTS settlements, promoter PE buyouts, pre-IPO restructuring). Unlike traditional bank loans that underwrite historical 3-year P&L statements and physical land mortgages, special situation debt underwrites the certainty of the corporate event, enterprise cash flow restoration, and overall asset cover.

Q2: Why are commercial banks in India unable to provide Special Situation Funding for equity buyouts or time-sensitive M&A?

Answer: Commercial banks are restricted by RBI Capital Market Exposure (CME) directions, which cap market exposure at 40% of net worth and strictly prohibit banks from financing share equity purchases or buybacks. Furthermore, bank approval hierarchies require 60 to 120 days, whereas special situations require 15 to 30-day closing windows.

Q3: Explain the 'Split Coupon' structure used in Special Situation Funding.

Answer: A split coupon divides the All-In Yield into a lower Current Cash Coupon (9.0% - 12.0% p.a. paid monthly out of operational cash flows) and a Payment-In-Kind (PIK) Accrual (3.0% - 5.0% p.a. compounding quarterly into principal), supplemented by upfront fees and exit premiums to achieve a total All-In Yield of 15.0% - 22.0% YTM without suffocating early cash flows.

Q4: How does HoldCo debt routing function when OpCo covenants restrict fresh borrowing?

Answer: HoldCo debt is issued at the parent Holding Company level and secured by a 2.0x - 2.5x demat share pledge over promoter voting equity in OpCo. Debt servicing is met via lawful dividend upstreaming (Section 123 Companies Act), brand royalties, or structured share buybacks (Section 68).

Q5: What is the purpose of a Trust & Retention Account (TRA) Escrow cash waterfall?

Answer: A TRA Escrow account ring-fences 100% of corporate receiving accounts, enforcing a strict legally binding cash distribution hierarchy that prioritizes statutory taxes, essential approved O&M, senior bank interest, and special situation debt coupon payouts before releasing any surplus margin to promoters.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Q6: What is the statutory tax deductibility benefit of special situation debt under Section 36(1)(iii) of the Income Tax Act?

Answer: Interest paid on debentures (both cash coupons and PIK interest accruals) is 100% tax-deductible as a business finance expense under Section 36(1)(iii), reducing corporate taxable income and providing a effective corporate tax shield of ~25.17%.

Q7: What SEBI AIF category is primarily used to deploy Special Situation Funding in India?

Answer: SEBI-registered Category II Alternative Investment Funds (AIFs) - Private Credit Funds, which benefit from tax pass-through status under Section 115UB of the Income Tax Act.

Q8: What is the minimum Asset Security Cover Ratio (ACR) required for institutional special situation underwriting?

Answer: Institutional lenders require a minimum Asset Security Cover Ratio of 2.00x to 3.00x Tangible Asset Cover (33% to 50% LTV) based on independent valuation of real estate, plant, machinery, or trade receivables.

Q9: Explain the dynamic margin call mechanism in promoter share pledges.

Answer: Demat share pledges require a 2.0x to 2.5x initial equity market cover. If stock price declines cause cover to fall below 1.75x, a mandatory T+2 Margin Call Notice is issued requiring the borrower to top up additional cash or shares within 2 trading days to restore cover.

Q10: What is the typical indicative tenure and principal moratorium for Special Situation Funding?

Answer: Facility tenure ranges from 12 to 24 months for event bridges up to 24 to 60 months (2 to 5 years) for corporate recapitalizations, incorporating a 12 to 24-month principal repayment moratorium.

Q11: How did the abolition of Section 56(2)(viib) 'Angel Tax' in Budget 2024/2025 benefit special situation structures?

Answer: Eliminating Angel Tax removed tax friction on share premium received during equity warrant exercises or convertible note restructurings, enabling tax-free hybrid debt-equity execution.

Q12: What priority ranking do special situation debenture holders receive under Section 53 of the IBC 2016 during liquidation?

Answer: Secured debenture holders hold Financial Creditor status and rank at Priority 2 under Section 53(1)(b) alongside 24-month workmen's dues, standing ahead of statutory government taxes (Priority 5) and equity shareholders.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Q13: What is the function of a Hard Lock-In period in special situation debt agreements?

Answer: Hard Lock-Ins (typically 12 to 24 months) prohibit early borrower prepayment, protecting lender yield expectations and ensuring the lender earns the target All-In YTM during the initial deal window.

Q14: Under what Indian statutory provision can lenders invoke pledged demat equity shares without court intervention?

Answer: Lenders can invoke pledged demat shares under Section 176 of the Indian Contract Act, 1872, upon giving a reasonable 3 to 5-day default notice, allowing direct share transfers or open-market block sales in NSDL/CDSL depositories.

Q15: How does Special Situation Funding enable a promoter to achieve an One-Time Settlement (OTS) with banks?

Answer: Special situation private credit provides the upfront cash needed to pay a discounted lump-sum settlement (e.g., 50% of book value) to defaulted bank consortiums. Upon payment, banks release their existing 1st mortgages, allowing the special situation lender to step into exclusive 1st charge position while restoring company solvency.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.